Ntpc Limited vs Central Electricity Regulatory ... on 30 March, 2007

Equivalent citations: 2007ELR(APTEL)21

JUDGMENT

Anil Dev Singh, Chairperson

1. This appeal has been filed by the Appellant, N.T.P.C. Ltd. against the Order of the Central Electricity Regulatory Commission (for short "CERC") dated 26th April, 2006, whereby the CERC has rejected the claim of the Appellant for booking the capital expenditure for establishing its Corporate Offices and various other offices in the Tariff. The Appellant is aggrieved of the Order of the CERC rejecting the claim of the Appellant.

2. The case of the Appellant is that it has incurred capital expenditure to the tune of Rs. 370.30 crores as on 1st April, 2004 for establishing its Corporate Office, Regional Offices, Transport and Custom Clearance offices, but the CERC has refused to take this amount into consideration for computation of Tariff of the generating stations.

3. The capital expenditure incurred by the Appellant on establishing the offices at corporate and regional levels etc. amounting to Rs. 370.30 crores as on 1st April, 2004 cannot be taken into consideration for the determination of generation Tariff of the generating stations. We have arrived at this conclusion keeping in view the following historical background and the long delay in raising the claim:

(a) The claim was made for the first time by the Appellant by filing a Petition, being Petition No. 74 of 2005 before the CERC on 29th June, 2005. This Petition was allowed to be withdrawn by the CERC with liberty to file a fresh petition.

(b) It was on 9th January, 2006 that the Appellant filed a fresh Petition, being Petition No. 3/2006 claiming capital cost of Rs. 370.30 crores as on 31st March, 2004 for being taken into consideration for determination of Tariff.

(c) It needs to be noted that the Government of India issued a Notification dated 30th March, 1992 under Section 43A(2) of the Electricity (Supply) Act, 1948 prescribing the operating norms for all generating stations whose financial packages were approved by the Central Electricity Authority (for short "CEA") on or after 30th March, 1992. These norms did not provide for considering capital cost incurred by the Appellant on establishment of its Corporate Office or offices away from the generating stations for determination of Tariff.

(d) Even in the several Tariff Notifications issued by the Central Government under

Section 43A(2) of the Electricity (Supply) Act, 1948 for determination of Tariff for each of the generating stations of the NTPC, whose financial packages were approved by the CEA before 30th March, 1992, no provision was made for taking into consideration the capital expenditure incurred by the Appellant on establishment of Corporate office or any other field Offices not being part of the generating stations/Project for the purpose of calculating the Tariff of the generating stations.

(e) After the enactment of the Electricity Regulatory Commissions Act, 1998 (for short, "the Act of 1998"), which came into effect from 25th March, 1998, the power to fix Tariff of the generating companies owned or controlled by the Central Government were transferred from the Central Government to Central Electricity Regulatory Commission. The Central Electricity Regulatory Commission notified the Central Electricity Regulatory Commissions (Terms and Conditions of Tariff) Regulations, 2001 applicable to the generating companies coming within the jurisdiction of the CERC. The Regulations were applicable for the period 1st April, 2001 to 31st March, 2004.

(f) The Appellant for the Tariff period, 2001-2004 did not claim any capital expenditure incurred by it on establishment of Corporate/ Regional Offices or field Offices for determination of Tariff for supply of electricity generated at its generating stations.

(g) The Act of 1998 was replaced by the Electricity Act, 2003. On 26th March, 2004, the CERC framed Regulations called The Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2004. The Appellant filed ARR for the period 2004-2009 but did not claim capital cost of the aforesaid offices for the purpose of determination of Tariff. It was only sometime in 2005 that the Appellant claimed capital cost for the determination of Tariff of the aforesaid offices. In other words, the Appellant did not claim capital expenditure incurred by it on establishment of Offices for being taken into consideration for determination of Tariff upto the year, 2004.

4. In the circumstances, therefore, it is too late in a day to claim the capital expenditure of Rs. 370.30 crores as on 1st April, 2004 for determination of Tariff. This controversy cannot be permitted to be raked up at such a belated stage. The question whether the Appellant can claim capital expenditure incurred after 2004 on establishment of offices for managing the stations, is left open as it cannot be considered in this appeal since the Appellant has claimed capital expenditure as on 1st April, 2004.

5. Accordingly, the appeal fails and is hereby dismissed.